government that every other shop on the streets of Kathmandu was sponsored by the ISI and later, Kashmiris with close ties to militant leaders were settled there to support terror activities on the Indian soil. King Birendra was facing tremendous pressure from democratic groups in Nepal who demanded the abolition of the monarchy and the rule of democracy in the country. Birendra suspected that India had a role in this uprising and when the Indo-Nepal treaties of trade and transit lapsed in March 1989, he did not renew them though several proposals were mooted by the Indian government. Nepal alleged that India was pushing for an economic blockade of the country. However, the records of the ME A reveal that despite the fact that there was no Indo-Nepal transit treaty in force, the government had ensured the import of goods by Nepal through the checkpoints of Raxaul and Jogbani, along with separate transit routes from Bhutan and Bangladesh, and it continued to implement economic development projects in Nepal as a part of its aid package.

Sanjay Arora, a R&AW officer, said that the situation in Kathmandu had become frightening in terms of India's security and though they tried to reason with King Birendra, arguing that the presence of the ISI and Kashmiri militants in Nepal would make a serious dent to the relationship between India and Nepal and cause irreparable damage to India's internal security, the monarch chose to ignore India's plea.

Arora told me: 'We were left with no option but to support the people's movement. The agency's Nepal unit, operating out of Lucknow, made sure that democratic Nepalese leaders with calibre and spine got unflinching support because they would need to take the hard decision and uproot terror factories. We had informed the then prime minister, V.P. Singh, early on in